

3. Churn Rate

The churn rate represents the percentage of customers who stop using a product or service over a defined period. A high churn rate can signal underlying issues, such as inadequate customer service, failure to meet customer expectations, or increased competition. Analysing the churn rate is crucial for identifying areas of improvement and addressing factors that contribute to customer attrition.

If the churn rate is high due to poor customer service, then efforts should be taken to improve the quality of customer service. If the product fails to meet customer needs, further product development is necessary.



Users as on
1 March, 2024



Users as on
1 Oct, 2024

$$\text{Churn Rate} = \frac{\text{Lost Customers}}{\text{Total Customers}} \times 100 = \frac{20}{6} = 33.33\%$$

Additionally, tracking churn rate is essential to determine whether it is increasing or decreasing.

Rapid Iteration & Feedback-Driven Improvements

Once you've gathered data, the next step is using it to refine your product. Analysing the data uncovers what's working well and what needs improvement, shaping your iteration strategy for continuous growth.